ISTITUTIONAL EQUITY RESEARCH • REFRESH / RE-UNDERWRITE

Caterpillar CAT
Q3 2026 Post-Earnings Fundamental Update

ecord demand meets a tougher earnings-quality test. The business case strengthened; the ock corrected; the next decision is whether 2027 margins and cash conversion justify the ultiple.

OF 29 OCTOBER 2026 • PUBLIC MARKET SNAPSHOT 1:59 P.M. EDT • PRICE $649.39 • UNPUBLISHED / RESEARCH VALIDATED AFTER QA

RESEARCH VIEW: WATCH / CONDITIONAL ENTRY

RESEARCH CONVICTION: 7 / 10

QUALITY: 8.5 / 10

VALUATION: 7 / 10 AT ~$650

PORTFOLIO FIT: PROVISIONAL

Q3 SALES	ADJUSTED EPS	BACKLOG	MP&E FREE CASH FLOW
$20.68B	**$7.20**	**$78.1B**	**$3.8B**
+17.3% YoY	+45.5% YoY	+~$6B QoQ / +96% YoY	Quarterly, ~+$0.6B YoY

EXECUTIVE INVESTMENT CONCLUSION

A better entry price, not yet an unqualified buy signal.

Power Generation sales-to-users surged 75%, order visibility extends well beyond next year and all three segments reported sales growth. But the adjusted EPS beat included estimated ~$0.21/share of tariff recoveries, the 2026 top-line outlook was not raised, and 2027 margin restoration remains unproven. The ~$650 quote is around 20.0x stale pre-earnings FY2027 consensus EPS of $32.59. Prefer staged consideration around **$615–$650** after checking post-print estimate revisions; reassess aggressively if guidance deteriorates. This is **analyst research judgment, not an authoritative Portfolio CIO recommendation**. [CAT-Q3] [CAT-CALL] [CONSENSUS] [PRICE]

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01 / What changed since the 27 October underwriting?

Underwriting element	27 Oct view	New evidence (29 Oct)	Reassessment
Demand durability	Backlog $72.1B at June quarter; data-center demand positive	$78.1B backlog; Power Gen end-user growth +75%; forward orders into 2029–30	**Stronger**

Underwriting element	27 Oct view	New evidence (29 Oct)	Reassessment
EPS / margin outlook	Q3 a necessary profitability test	Adj. EPS $7.20, but ~$0.21 estimated IEEPA recovery contribution; FY adjusted margin near low end excluding recoveries	**Mixed; weaker beat quality**
FY2026 revenue outlook	Expectations already high	Maintained mid-to-high-teens growth; Q4 characterized as moderate	**No positive guide revision**
Price / 2027 valuation	~$714 / 21.9x preprint FY2027 EPS $32.59	$649.39 at 1:59 pm ET; ~19.9x the same preprint estimate	**Price more attractive; EPS estimate stale**
Preferred entry	$625–$650 preferred; conditional $675–$700 starter	Shares moved into preferred band intraday, but margin/estimate risks persist	Hold $615–$650 staged gate; no automatic buy
Prior analyst value	~$780 P/E base; ~$696 illustrative DCF	Base ~$780 and DCF ~$696 held provisionally pending fresh FY2027 guidance; risk discount warranted	Target not raised on headline earnings

Prior values from the repository CAT thesis registry dated 27 Oct 2026. New results sourced to company release/call; price to 29 Oct market quote. No completed 2027 post-earnings consensus revision set was found as of this report. [CAT-Q3] [CAT-CALL] [PRICE]

02 / Q3 reported results, consensus and segment momentum

Reported versus prior year

Metric	Q3 2026	Q3 2025	Change
Revenue ($B)	20.682	17.638	**+17.3%**
GAAP EPS	$7.13	$4.88	**+46.1%**
Adjusted EPS	$7.20	$4.95	**+45.5%**
Adj operating margin	20.6%	17.5%	**+310 bp**
Enterprise CFO ($B)	4.4	n/a	—

Market bar: vendor-specific and inconsistent

Provider	Adj EPS bar	Surprise
Yahoo consensus (preprint)	$7.03	+$0.17 / +2.4%
Reuters / LSEG	$7.08	+$0.12 / +1.7%
Zacks consensus	$7.12	+$0.08 / +1.1%
Earnings Whisper (aspirational bar)	$7.24	-$0.04 / -0.6%

Revenue estimate feeds also differed ($20.53B, $20.58B, $20.69B). Do not call this a uniform revenue beat or miss. Adjusted EPS is compared consistently; the quality adjustment below matters more than cents of vendor variance. [CONSENSUS] [SURPRISE] [OTHERBAR] [REUTERS]

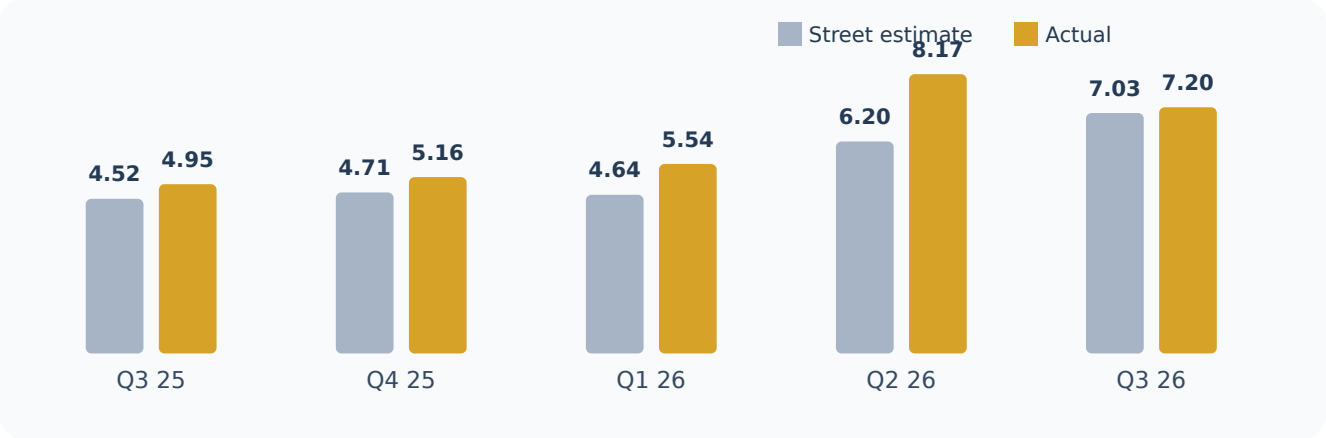
Underlying operating segments

Segment	Q3 sales	Sales YoY	Segment profit	Margin	Investment read-through
Power & Energy	$8.784B	**+18%**	$2.143B	24.4%	Data-center diesel/prime power, turbines, services; capacity is bottleneck.
Construction Industries	$7.983B	**+18%**	$1.831B	22.9%	North American retail/rental strong; Q4 dealer destock risk.

Segment	Q3 sales	Sales YoY	Segment profit	Margin	Investment read-through
Resource Industries	$4.615B	**+15%**	$0.622B	13.5%	Mining orders up, shipment/commissioning delays and cost burden.

Segment revenues include intersegment sales and therefore do not add to consolidated revenue. Profit before corporate/eliminations; margins derived as segment profit divided by reported segment sales. [CAT-Q3] [CAT-CALL]

Five-quarter adjusted EPS: actual versus selected preprint estimates



USD/share. Q3 2026 vendor bar shown at $7.03; EPS beats across prior four quarters were larger. Past-quarter figures come from Yahoo earnings history as of a 23–26 October preprint crawl; definitions and later estimate restatements may differ. [CONSENSUS]

03 / Earnings-quality bridge: why the EPS beat was not all recurring

Reconciliation	Per share (USD)	Quality assessment
Reported GAAP diluted EPS	$7.13	Official quarter GAAP result
Add restructuring adjustment after tax	+$0.07	Company non-GAAP adjustment
Reported adjusted EPS	**$7.20**	Official adjusted result
Less: IEEPA tariff recoveries (analyst estimate)	-~$0.21	$128M operating benefit × (1 − 23% tax) / ~459.7M shares; not company-adjusted EPS
Illustrative adjusted EPS excluding refund	**~$6.99**	Below some $7.03–$7.12 vendor expectations, assuming no offsetting normalization

Management also cited an approximately **$0.15 YoY adjusted EPS benefit from share repurchases**. This is real per-share accretion, but not a volume/price operating improvement. Conversely, revenue growth of 17% and margin expansion ex-recovery remain favorable. The refund represents ~62 bp of Q3 consolidated revenue and was reported predominantly in corporate items. [CAT-Q3] [CAT-CALL]

Interpretation. The profit acceleration is authentic, but the *incremental surprise* was lower quality than the $7.20 headline suggests. Do not project tariff-recovery EPS benefits forward; management excludes any additional Q4 IEEPA recoveries from its outlook.

04 / Earnings call and Q&A: five questions that change the thesis

Analyst / question	Management answer (paraphrased)	Bull / bear reading	Next falsifier
Rob Wertheimer, Melius; power order horizon	CEO Creed: large gas prime-power orders may reach 2029; some diesel backup into 2028; firm orders alongside longer-term frame agreements.	Large structural runway / longer-dated orders may be lumpy and cancellation-sensitive.	Order firmness, customer project progress and on-time delivery.
Tami Zakaria, JPMorgan; backlog composition	58% of backlog expected to sell in 12 months vs 59% prior quarter; backlog not the only demand metric.	Visibility / long-duration conversion and margin timing risk.	12-month sell-through and book-to-bill plus STU, not backlog alone.
Jamie Cook, Truist; margin recovery timing	Management wants to climb off bottom of margin range; 2027 detail in January, with recovery toward midpoint over coming years.	Profit leverage possible / no precise 2027 margin commitment.	Clean operating margins (ex-tariff recoveries), freight and cost absorption.
David Raso, Evercore; Q4 sales seasonality	Power delivery paced by production; no slack, and a temporary test-cell outage; Construction dealer destock ~$1.6B in Q4.	Capacity bottleneck implies demand strength / constrains 2027 near-term shipments.	Quarterly output, supplier lead time and destock versus end-user demand.
Jerry Revich, Wells Fargo; data center counterparty/permitting	No significant observed project-timing change; management declined to quantify hyperscalers vs other buyers.	Demand intact / opacity on buyer concentration and cancellations.	Permitting, financing and customer concentration disclosures.

Transcript reviewed 29 Oct 2026; entries are analyst paraphrases, not verbatim quotations. Full conversation, named questioner and executive replies: [CAT-CALL]

05 / Quality of the franchise, cash generation, and capital allocation

What is working

- **Power systems moat:** installed fleet, dealer service and high criticality in standby generation; Power Generation end-user sales +75%.
- **Construction execution:** Construction sales-to-users +20%; North America +27%, helped by rental fleet loading and broad retail demand.
- **Mining option:** three strong Resource Industries order quarters, copper/gold demand and large mining-truck ramp.
- **Cash returns:** $3.8B Q3 MP&E FCF, $1.2B repurchases and ~$0.75B dividends.

What is weakening / uncertain

- **Cost intensity:** $600M Q3 tariff costs, ~$2.2B 2026 outlook, freight/material inflation and depreciation on new capacity.
- **Q4 inventory:** expected $1.6B Construction dealer drawdown versus $0.6B year-ago; ~$1B sales-growth headwind.
- **Factory throughput:** power production test-cell outage and mining truck ramp constraints raise delivery/timing risk.
- **FCF sustainability:** full-year MP&E FCF expected in top half of $6B–$15B target band; 2026 CapEx ~$3.3B (prior ~$3.5B).

Balance sheet and financing. Enterprise cash $7.9B and an additional $1.6B of somewhat longer-dated liquid marketable securities provide liquidity, but they are not netted directly against equipment debt in this research DCF. Cat Financial revenues and profits rose; 1.31% past dues were down 16 bp YoY, though credit-loss provisions rose. The financing segment is a differentiator in customer economics and a source of cyclical credit risk. [CAT-Q3] [CAT-CALL] [FIN]

Industry and peer read-through. CAT's results favor high-power generator and engine supply chains, power-plant capacity expansion, rental fleet networks and mining capital equipment. Permitting, power-fuel economics, hyperscaler capex discipline, U.S. tariffs, freight and high interest rates are opposing forces. Deere and PACCAR are relevant cyclical industrial comparators, but differing agricultural/truck cycles and financing structures make a raw P/E league table potentially misleading. A point-in-time, apples-to-apples peer estimate set was not validated; peer premium is therefore assessed qualitatively rather than invented.

06 / Valuation, DCF and reverse DCF

MARKET ANCHOR

Intraday quote $649.39 at 1:59 pm EDT

2026 EPS consensus (preprint) $27.33 → **23.8x**; 2027 consensus (preprint) $32.59 → **19.9x**. TTM P/E ~25.8x in the same market-data source; trailing earnings basis may differ from adjusted forward estimates. PEG ~1.3x was a prior vendor figure but is not a reliable anchor amid a cyclical earnings rebound. [PRICE] [CONSENSUS]

PRICE-TO-EARNINGS BASE CASE

24.0 × $32.59 = ~$782

Rounded base **$780** (20.1% upside to $649.39). This valuation assumes CAT retains a premium industrial multiple and current preprint FY2027 estimates survive the earnings-guidance revision process. It is an *analyst scenario, not consensus target*.

Explicit illustrative equity free-cash-flow DCF

Assumption	Base	Source / treatment
2027 normalized equity FCF starting level	$12.5B	Analyst assumption; benchmarked to company 2026 MP&E FCF top-half $6B–$15B target range. Not GAAP CFO and not Cat Financial-consolidated cash flow.
Years 1–5 FCF growth	10% / yr	Analyst; optimistic sustained capacity/ramp case
Years 6–10 FCF growth	6% / yr	Analyst taper / long-run growth
Terminal growth / cost of equity	3% / 9%	Analyst assumptions; financing segment reconciliation not separately modeled
Diluted shares used	459.67M	Approx. market share-count proxy; not a new forecast
Equity value per share	**~$696**	Discount each annual flow + year-10 Gordon terminal value; ~7.2% above $649.39

> Model mechanics: FCFE(t) = 2027 normalized equity FCF × cumulative assumed growth; present value = Σ FCFE(t)/(1+r)^t + [FCFE(10) × (1+g)/(r−g)]/(1+r)^10; divide by 459.67M shares. The model is **illustrative** and does not fully integrate Cat Financial leverage, equipment versus financial-services cash, share-count dynamics or working-capital cyclicality.

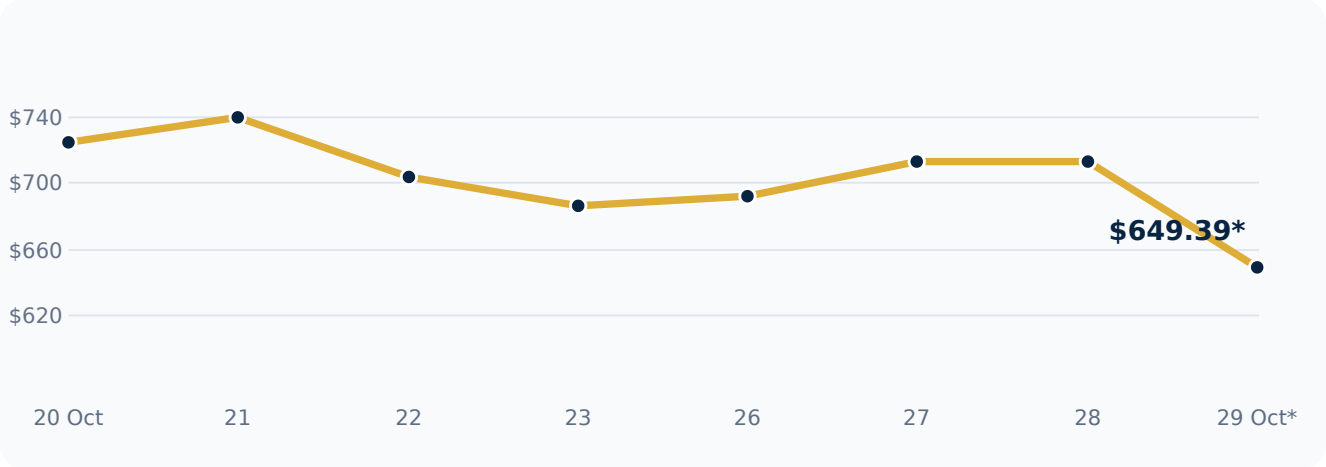
DCF sensitivity: per-share value ($)

First 5-year FCFE CAGR ↓ / Cost of equity →	8.5%	9.0%	9.5%	10.0%
8%	$701	$640	$588	$543
10%	$763	$696	$639	$590
12%	$830	$756	$694	$641

Reverse DCF: At $649.39 with the remaining parameters fixed, the price implies approximately **8.36% annual FCFE growth for years 1–5**, then 6% in years 6–10 and 3% in perpetuity. At the 27 Oct ~$714 price, implied years 1–5 growth was approximately 10.6%. The correction has removed some, not all, execution optimism.

Sensitivity holds terminal growth 3%, years 6–10 6%, starting equity FCF $12.5B and 459.67M shares constant. A 50 bp cost-of-equity move changes the calculated value materially; the DCF is a secondary cross-check, not a precision price target.

Market price and repricing, 20–29 October



Daily closes through 28 Oct, then 29 Oct 1:59 pm EDT intraday snapshot (asterisk). Price remains live and may differ at publication; there is no asserted closing price for 29 Oct. [PRICEH] [PRICE]

07 / Explicit bull / base / bear valuation cases (12–18 months)

Case	2027 adjusted EPS	Applied P/E	Value	Vs ~$649	Drivers
Bear • 25%	$27.0	18.5x	$500	**-23%**	Margin suppression, tariff persistence, mining delays, data-center cancellations or derating.
Base • 50%	$32.5	24.0x	$780	**+20%**	Backlog converts, modest margin normalization, valuation premium persists.
Bull • 25%	$37.5	26.0x	$975	**+50%**	Power supply ramp beats, efficient utilization, strong mining/energy pricing.

Illustrative probability-weighted value = **$759**, or ~17% over the timestamped market quote, before dividends and without any guarantee of timing. Scenario probabilities and P/E multiples are **research assumptions**, not estimates provided by Caterpillar, Wall Street, or the portfolio CIO. At these assumptions, upside is attractive but the bear case is meaningful.

08 / Portfolio fit, checkpoints, and thesis-break conditions

Portfolio-source control: The GitHub agent-state manifest identifies `retirement-portfolio-63.xlsx` as the sole canonical workbook, and its SHA-256 matches the uploaded version 63 reviewed in this session. A newer `retirement-portfolio-65.xlsx` is accessible but is not designated in that manifest. A direct CAT stock row was not identified in either version's workbook XML. Because source designation is not reconciled, exact current portfolio weight, cash availability and incremental sizing are **provisional**. No older workbook was silently substituted.

Research classification (not CIO status)

Company Quality 8.5/10: leading equipment/dealer/service franchise, high customer switching costs; cyclical and capacity-intensive.

Valuation Attractiveness 7/10: improved at 19.9x preprint 2027 EPS, but DCF only supports a modest margin and estimate revisions are pending.

Portfolio Fit: provisional: CAT would expand exposure to industrial cyclicality, capex and data-center power demand. Cross-check existing indirect exposures through GEV, GRID, equipment funds before sizing.

Conditional price-action framework

$615–$650: preferred staged entry research zone *only if* 2027 EPS remains broadly intact and power orders remain firm.

$650–$700: no urgency to chase; demand improved but the earnings-quality objection has not disappeared.

Below $615: revisit whether cheaper price is a temporary market issue or deterioration in 2027 assumptions.

Above ~$780: the base scenario is largely capitalized unless new upward estimates justify a revision.

Upcoming checkpoints / evidence gates

1. **Next days/weeks:** post-results FY2027 consensus revisions vs $32.59 preprint baseline, normalized margin assumptions, incremental tariff-cost assumptions.
2. **Q4 results / January 2027 call (company-indicated window):** first quantified 2027 management outlook; Power & Energy capacity, margin and conversion trajectory.
3. **Each quarterly results release:** Power Generation STU, firm Power & Energy orders, backlog mix (12-month conversion ~58%), book-to-bill and delivery slippage.
4. **2027 calendar year:** large engine/turbine production commissioning, mining truck ramp and pricing versus higher depreciation, freight and SG&A.
5. **Ongoing:** Cat Financial 30+ day past dues, defaults, customer projects, hyperscaler construction/permitting delays, cancellations.

Explicit thesis-break conditions

- Two consecutive quarters of materially declining net orders or worsening firm Power & Energy backlog conversion, not explained by normal delivery timing.
- FY2027 adjusted EPS consensus declines by more than 15% from the prior $32.59 baseline (below ~$27.70) without sufficient share-price adjustment.
- Normalized adjusted operating margin stays below ~17% beyond a transient cost/ramp phase, excluding tariff refunds and other one-time benefits.
- Industrial/MP&E FCF conversion repeatedly misses operating progress, or Cat Financial delinquency/credit metrics deteriorate materially.
- Capacity expansion results in durable idle assets, sizable cancellations, or poor economic returns from new plant and equipment.

> **PROPOSED PORTFOLIO CIO REVIEW • NOT EXECUTED**
> **Question:** Should CAT be upgraded from a contingent watchlist candidate to a small starter allocation in the $615–$650 band *after* post-print FY2027 estimate and earnings-quality reconciliation? Evidence supporting review: +75% Power Generation retail, $78.1B backlog, corrected valuation. Evidence against: refund-assisted surprise, no FY guidance raise, 2027 margin uncertainty, unresolved current portfolio baseline.

Questions that remain open

- Are $32.59 FY2027 EPS and ~$88.67B revenue consensus numbers revised materially after this print?
- Can management quantify Power & Energy planned new production and net of execution delays?
- How much 2029–30 order visibility is backed by binding orders versus frameworks, and how concentrated are end customers?
- Will tariffs and freights abate enough to move operating margins off the lower end of the target range?

09 / Source notes and audit trail

Research timestamp: 29 Oct 2026, intraday before the market close; event: Q3 2026 earnings release 6:30am ET and completed company earnings call. This is a refresh of an Oct 27 research record, not a new coverage initiation. Reported GAAP and non-GAAP figures from company results; management views from the full earnings call transcript; street estimates vary by vendor and have explicit stale/preprint tags. Research valuation and scenarios are illustrative, not company targets.

[CAT-Q3]	https://www.caterpillar.com/en/news/corporate-press-releases/h/3q26-results-caterpillar-inc.html
[CAT-CALL]	https://stockanalysis.com/stocks/cat/transcripts/712381-q3-2026/
[REUTERS]	https://www.reuters.com/business/caterpillar-third-quarter-profit-rises-power-equipment-demand-2026-10-29/
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[OTHERBAR]	https://www.earningswhispers.com/epsdetails/CAT/202609
[FIN]	https://www.caterpillar.com/en/news/corporate-press-releases/h/3q26-results-cat-financial.html

Internal research references: `agent-state/research/thesis-registry.json`, CAT record updated 2026-10-27; `agent-state/reports/report-registry.json` with CAT 2026-10-09 initiation and 2026-10-27 refresh; `agent-state/portfolio/manifest.json` manifest v1.0.0 as read from repository default branch. Prior analyst values/entry gates are summarized, not independently republished.

Limitations: no post-earnings 2027 consensus revision set confirmed; no fully reconciled financing-segment FCFE model; no audited comparable-peer model; cash-flow normalization, probability estimates and discount rates are scenario inputs. No trade placed. No Portfolio CIO status changed. Not published to either Portfolio Command Center without explicit authorization.